

acquisition-related charges. These expenses fell into three main categories:

1. “merger” or “restructuring” or “other nonrecurring” costs,
2. “charges for the impairment of long-lived assets,” and
3. “write-offs of purchased in-process research and development.”

For the sake of brevity, let’s refer to the first kind of charge as MORON, the second as CHILLA, and the third as WOOPRAD. How did they show up over time?

FIGURE 17-2 Tyco International Ltd.

Fiscal year	MORON	CHILLA	WOOPRAD
1997	918	148	361
1998	0	0	0
1999	1,183	335	0
2000	4175	99	0
2001	234	120	184
Totals	2,510	702	545

All figures are as originally reported, stated in hundreds of millions of dollars.

“Mergers & acquisitions” totals do not include pooling-of-interests deals.

Source: Tyco International annual reports (Form 10-K).

As you can see, the MORON charges—which are supposed to be *nonrecurring*—showed up in four out of five years and totaled a whopping \$2.5 billion. CHILLA cropped up just as chronically and amounted to more than \$700 million. WOOPRAD came to another half-billion dollars.³

The intelligent investor would ask:

- If Tyco’s strategy of growth-through-acquisition was such a neat idea, how come it had to spend an average of \$750 million a year cleaning up after itself?